Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

0.4 to 0.6

Question Number : 220 Question Id : 6406531834687 Question Type : SA

Correct Marks : 2

Question Label : Short Answer Question

Given that the pen drawn is green, find the probability that it came from box C. Enter the answer correct to two decimal places.

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

0.64 to 0.70

Corporate Finance

Section Id :	640653122812
Section Number :	12
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	20
Number of Questions to be attempted :	20
Section Marks :	100
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653328429
Question Shuffling Allowed :	No

Question Number : 221 Question Id : 6406531834688 Question Type : MCQ
Correct Marks : 0
Question Label : Multiple Choice Question
THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : CORPORATE FINANCE (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?
CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)
Options :
6406535954313. ✔ YES
6406535954314. ✖ NO

Sub-Section Number :	2
Sub-Section Id :	640653328430
Question Shuffling Allowed :	Yes

Question Number : 222 Question Id : 6406531834689 Question Type : MCQ
Correct Marks : 4
Question Label : Multiple Choice Question
According to the Expected Utility Hypothesis, if there are two possible states, 1 and 2, with probabilities π_1 and π_2, and respective state-contingent consumptions are c_1 and c_2, then the utility function is given by:
Options :
6406535954315. ✖ $U(c_1, c_2) = \pi_1 c_1 + \pi_2 c_2$

6406535954316. ✖ $U(c_1, c_2) = \pi_1 u(c_2) + \pi_2 u(c_1)$

6406535954317. ✖ $U(c_1, c_2) = u(\pi_1 c_1 + \pi_2 c_2)$

6406535954318. ✔ $U(c_1, c_2) = \pi_1 u(c_1) + \pi_2 u(c_2)$

Sub-Section Number :	3
Sub-Section Id :	640653328431
Question Shuffling Allowed :	Yes

Question Number : 223 Question Id : 6406531834690 Question Type : MCQ
Correct Marks : 4
Question Label : Multiple Choice Question
Global Bank has total assets of 2,500 units, liabilities of 1,500 units, and capital of 1,000 units. What

is the leverage ratio for Global Bank?

Options :

6406535954319. ✖ 0.4

6406535954320. ✖ 0.6

6406535954321. ✖ 1.67

6406535954322. ✔ 2.5

Sub-Section Number :	4
Sub-Section Id :	640653328432
Question Shuffling Allowed :	Yes

Question Number : 224 Question Id : 6406531834691 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

On a Mean-Standard Deviation diagram (Mean on the vertical axis and Standard deviation on horizontal axis) the left boundary of the feasible set represents the:

Options :

6406535954323. ✖ Efficient Frontier

6406535954324. ✖ Global Minimum Variance (GMV) portfolio

6406535954325. ✖ Capital Allocation Line (CAL)

6406535954326. ✔ Minimum-Variance Set

Sub-Section Number :	5
Sub-Section Id :	640653328433
Question Shuffling Allowed :	Yes

Question Number : 225 Question Id : 6406531834692 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

A 1-year government bond offers a 5% rate of return. A lender, who is risk neutral, lends ₹50,000 to a friend. The lender believes the friend will pay back the promised amount with an 80% probability and will pay back nothing with a 20% probability. What is the default premium (in addition to the time premium) that the lender should ask from the friend?

Options :

6406535954327. ✖ 31.25%

6406535954328. ✔ 26.25%

6406535954329. ✖ 6.25%

6406535954330. ✖ 5.00%

Sub-Section Number :	6
Sub-Section Id :	640653328434
Question Shuffling Allowed :	Yes

Question Number : 226 Question Id : 6406531834693 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

There are two assets: a risk-free asset with a 4% rate of return and a risky asset with an expected rate of return of 19% and a standard deviation of 10%. What is the slope of the Capital Allocation Line (CAL) of a portfolio consisting of these two assets?

Options :

6406535954331. ✖ 1.25

6406535954332. ✔ 1.5

6406535954333. ✖ 1.75

6406535954334. ✖ 2.0

Sub-Section Number :	7
Sub-Section Id :	640653328435
Question Shuffling Allowed :	Yes

Question Number : 227 Question Id : 6406531834694 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

A person's utility function is $U(r) = E(r) - \frac{1}{2}A\sigma^2$. If the person is indifferent between a risk-free asset (X) yielding 5% and a risky asset (Y) with $E(r) = 14$% and $\sigma = 12$%, what is the coefficient of risk aversion (*A*)?

Options :

6406535954335. ✖ 10.0

6406535954336. ✔ 12.5

6406535954337. ✖ 15.0

6406535954338. ✖ 18.0

Sub-Section Number :	8
Sub-Section Id :	640653328436
Question Shuffling Allowed :	Yes

Question Number : 228 Question Id : 6406531834695 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

An asset (A) has a standard deviation of 20%. The market portfolio (M) has a standard deviation of 5%. The correlation between the asset and the market is 0.2. What is the beta (β) of asset A?

Options :

6406535954339. ✖ 0.2

6406535954340. ✔ 0.8

6406535954341. ✖ 1.0

6406535954342. ✖ 3.2

Sub-Section Number : 9
Sub-Section Id : 640653328437
Question Shuffling Allowed : Yes

Question Number : 229 Question Id : 6406531834696 Question Type : MCQ
Correct Marks : 4
Question Label : Multiple Choice Question
A two-asset portfolio has $\bar{r_1} = 10$%, $\bar{r_2} = 30$%. To achieve a target expected return of 15%, what weight must be invested in Asset 1?
Options :
6406535954343. ✖ 25%
6406535954344. ✖ 40%
6406535954345. ✔ 75%
6406535954346. ✖ 50%

Sub-Section Number : 10
Sub-Section Id : 640653328438
Question Shuffling Allowed : Yes

Question Number : 230 Question Id : 6406531834697 Question Type : MCQ
Correct Marks : 4
Question Label : Multiple Choice Question
A two-asset portfolio consists of Asset X ($\sigma = 20$%) and Asset Y ($\sigma = 10$%). The correlation between the two assets is 0.5. If 60% is invested in X and 40% in Y, what is the portfolio variance (σ_P^2)?
Options :
6406535954347. ✔ 0.0208
6406535954348. ✖ 0.0300
6406535954349. ✖ 0.0484
6406535954350. ✖ 0.1442

Sub-Section Number : 11
Sub-Section Id : 640653328439
Question Shuffling Allowed : Yes

Question Number : 231 Question Id : 6406531834698 Question Type : MCQ
Correct Marks : 4
Question Label : Multiple Choice Question
An equally weighted portfolio is formed from 25 uncorrelated assets. Each asset has a standard deviation of 25%. What is the standard deviation of the portfolio?
Options :
6406535954351. ✖ 1%

6406535954352. ✔ 5%

6406535954353. ✖ 10%

6406535954354. ✖ 25%

Sub-Section Number :	12
Sub-Section Id :	640653328440
Question Shuffling Allowed :	Yes

Question Number : 232 Question Id : 6406531834699 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is the fair price of a bet that pays 20 with 20% probability, 50 with 50% probability, and 90 with 30% probability?

Options :

6406535954355. ✖ 36

6406535954356. ✔ 56

6406535954357. ✖ 66

6406535954358. ✖ 46

Sub-Section Number :	13
Sub-Section Id :	640653328441
Question Shuffling Allowed :	Yes

Question Number : 233 Question Id : 6406531834700 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

A farm is worth 40 thousand under flood (20% probability) or 150 thousand in no flood situation (80% probability) next year. The farm was purchased for 100 thousand, financed by a loan of 80 thousand and equity of 20 thousand. The loan requires a promised repayment of 110 thousand. What is the expected payoff for the equity owner next year (in thousands)?

Options :

6406535954359. ✖ 0

6406535954360. ✖ 20

6406535954361. ✔ 32

6406535954362. ✖ 40

Sub-Section Number :	14
Sub-Section Id :	640653328442
Question Shuffling Allowed :	Yes

Question Number : 234 Question Id : 6406531834701 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

For a three-asset portfolio of uncorrelated assets,

w_1, w_2, w_3 are the weights and σ^2 is the common (same for the three assets) variance. The portfolio variance is $\sigma_P^2 = w_1^2\sigma^2 + w_2^2\sigma^2 + w_3^2\sigma^2$. To find the Global Minimum Variance (GMV) portfolio, you would minimize σ_P^2 subject to:

Options :

6406535954363. ✖ $w_1 = w_2 = w_3$

6406535954364. ✔ $w_1 + w_2 + w_3 = 1$

6406535954365. ✖ $w_1 = w_2 = w_3 = 1$

6406535954366. ✖ $w_1 + w_2 + w_3 = 0$

Sub-Section Number :	15
Sub-Section Id :	640653328443
Question Shuffling Allowed :	Yes

Question Number : 235 Question Id : 6406531834702 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

An investor with mean-variance preferences $U = \mu - 20\sigma^2$ is comparing Asset A ($\mu = 0.175$, $\sigma^2 = 0.02$) and Asset B ($\mu = 0.15$, $\sigma^2 = 0.01$). Which asset would investor prefer?

Options :

6406535954367. ✖ Asset A

6406535954368. ✔ Asset B

6406535954369. ✖ Indifferent

6406535954370. ✖ Depends on initial wealth

Sub-Section Number :	16
Sub-Section Id :	640653328444
Question Shuffling Allowed :	Yes

Question Number : 236 Question Id : 6406531834703 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

The risk-free rate of return is 6% and the expected market return is 15%. If the beta (β) of an asset is 1.2, then what is the expected return of the asset according to the Capital Asset Pricing Model (CAPM)?

Options :

6406535954371. ✔ 16.8%

6406535954372. ✖ 12.0%

6406535954373. ✖ 10.8%

6406535954374. ✖ 14.4%

Sub-Section Number : 17

Sub-Section Id : 640653328445

Question Shuffling Allowed : Yes

Question Number : 237 Question Id : 6406531834704 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

An investor decides to short sell 100 shares of Tech Inc. The current share price is Rs. 300. At the end of 1 year, the share price drops to Rs. 275. How much profit does the investor make from exercising the short sale on these shares (Assuming there are no additional costs for this trade)

Options :

6406535954375. ✔ Rs. 2500

6406535954376. ✖ Rs. 2750

6406535954377. ✖ Rs. 3000

6406535954378. ✖ The investor incurs a loss.

Sub-Section Number : 18

Sub-Section Id : 640653328446

Question Shuffling Allowed : No

Question Id : 6406531834705 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (238 to 239)

Question Label : Comprehension

A new vineyard is purchased for 700 thousand units. There is a 10% chance of a severe pest infestation in the next year. If there is an infestation, the total payoff of the vineyard will be 300 thousand units in the next year. Otherwise, the vineyard generates a payoff of 900 thousand units in the next year. The appropriate cost of capital is 15% per year. The purchase is financed with a loan of 500 thousand units and the remaining amount as equity.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 238 Question Id : 6406531834706 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What would be the appropriate promised rate of return that the creditor of the loan would demand?

Options :

6406535954379. ✖ 33.33%

6406535954380. ✔ 21.11%

6406535954381. ✖ 30.88%

6406535954382. ✖ 25.00%

Question Number : 239 Question Id : 6406531834707 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is the expected payoff for the equity owner in the next year?

Options :

6406535954383. ✖ 133.33 thousand

6406535954384. ✖ 166.67 thousand

6406535954385. ✖ 188.89 thousand

6406535954386. ✔ 265.00 thousand

Sub-Section Number :	19
Sub-Section Id :	640653328447
Question Shuffling Allowed :	No

Question Id : 6406531834708 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (240 to 241)

Question Label : Comprehension

Anjali, an entrepreneur, has a utility function of the form $U(x) = \sqrt{x}$. If her new product is successful, she expects to earn 1,600 units. If it fails, she will earn 400 units. There is a 40% chance that her product will fail.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 240 Question Id : 6406531834709 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is Anjali’s expected utility from the venture?

Options :

6406535954387. ✖ 40

6406535954388. ✖ 36

6406535954389. ✔ 32

6406535954390. ✖ 24

Question Number : 241 Question Id : 6406531834710 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Anjali can buy an insurance policy that pays her 1,200 units if the product fails. If she pays a price p for this policy, she would be sure to have an income of $1,600 - p$ regardless of success or failure. What would be the largest price (p) that Anjali would be willing to pay for such an insurance?

Options :

6406535954391. ✖ 256 units

6406535954392. ✖ 360 units

6406535954393. ✖ 484 units

6406535954394. ✔ 576 units

Sub-Section Number :	20
Sub-Section Id :	640653328448
Question Shuffling Allowed :	No

Question Id : 6406531834711 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (242 to 246)

Question Label : Comprehension

Suppose there are two assets, Asset 1 and Asset 2, with the following characteristics:

- Expected Rate of Return: $r_1 = 0.10$, $r_2 = 0.25$
- Standard Deviation: $\sigma_1 = 0.20$, $\sigma_2 = 0.40$
- Covariance: $\sigma_{12} = 0.03$

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 242 Question Id : 6406531834712 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

A portfolio is formed with 30% of wealth in Asset 1 and 70% of wealth in Asset 2. What would be the expected rate of return of this portfolio?

Options :

6406535954395. ✖ 0.195

6406535954396. ✔ 0.205

6406535954397. ✖ 0.220

6406535954398. ✖ 0.235

Question Number : 243 Question Id : 6406531834713 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What would be the standard deviation of the rate of return of the portfolio described in previous question?

Options :

6406535954399. ✖ 0.396

6406535954400. ✖ 0.542

6406535954401. ✔ 0.308

6406535954402. ✖ 0.234

Question Number : 244 Question Id : 6406531834714 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Suppose you would like to construct a portfolio with an expected rate of return of 19%. What weights would you put on Asset 1 and Asset 2, respectively?

Options :

6406535954403. ✔ 40%, 60%

6406535954404. ✖ 50%, 50%

6406535954405. ✖ 60%, 40%

6406535954406. ✖ 70%, 30%

Question Number : 245 Question Id : 6406531834715 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What are the weights of Asset 1 and Asset 2 in the minimum variance portfolio?

Options :

6406535954407. ✔ 93%, 7%

6406535954408. ✖ 83%, 17%

6406535954409. ✖ 73%, 27%

6406535954410. ✖ 63%, 37%

Question Number : 246 Question Id : 6406531834716 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is the expected rate of return of the minimum variance portfolio?

Options :

6406535954411. ✔ 11.07%

6406535954412. ✖ 13.87%

6406535954413. ✖ 15.37%

6406535954414. ✖ 16.53%